Power Continues to Remain Hostage to the Mess in Distribution

Most electricity produced in the country, thermal, hydel, renewable or any other mode, reaches consumers, whether businesses or households, through DISCOMs, which are owned and controlled by state governments barring a few exceptions. DISCOMs are almost invariably bankrupt.

The Ministry of Power has created a portal, Payment Ratification and Analysis in Power Procurement for Bringing Transparency in Invoicing of Generators (PRAAPTI), which captures the state of desperation in the power sector. DISCOMs hardly pay current bills. They only clear overdues from their current revenues and any extraordinary borrowings. For the month of October 2020, as disclosed on the PRAAPTI portal, DISCOMs were billed for Rs 15,545 crore by private generators and third-party suppliers (other than the generating companies of the same government). They paid only Rs 1979 crore against current bills within the forty-five days given to them to make the payment, and paid Rs 11,923 crore of overdue payments. As Rs 13,081 crore of current bills became overdue during the month, the outstanding overdues at the end of the month increased from Rs 1,24,940 crore to Rs 1,26,098 crore. Total overdues of DISCOMs, if you include the amount outstanding to generators owned by the same government and loans taken by special purpose companies to provide liquidity, would easily exceed Rs 3 lakh crore. Clearly, the power distribution sector is in a complete mess.

Some states and cities have privatized DISCOMs. For instance, Delhi did this about fifteen years ago and its transmission, distribution and billing losses are on a par with the best in the world now. There has not been any real increase in the cost of electricity, yet the two private-sector companies that manage power supply and distribution are neither dependent upon the state government for subsidy nor are they in losses. Similar experiences are playing out in a few other states, such as Odisha, where electricity distribution has been privatized.